



Presents

Support, Resistance and Trendlines

By Russ Horn

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Support and Resistance

Peaks and valleys (obvious and not so obvious), highs and lows, are all levels of support and resistance.

The technical term for a valley or a low in the market is “Support”.

The technical term for a peak or a high in the market is “Resistance”.

You are familiar with these now as we discussed the peaks and valleys and the zig-zags in a trend. We’ll go over again, but this time we will use the proper lingo.

Support is a floor that price bounces off. The market moves down, hits support and bounces off it to move upwards.

“Price is supported from dropping any farther”

Resistance is a ceiling that price rises to and is then forced back down.

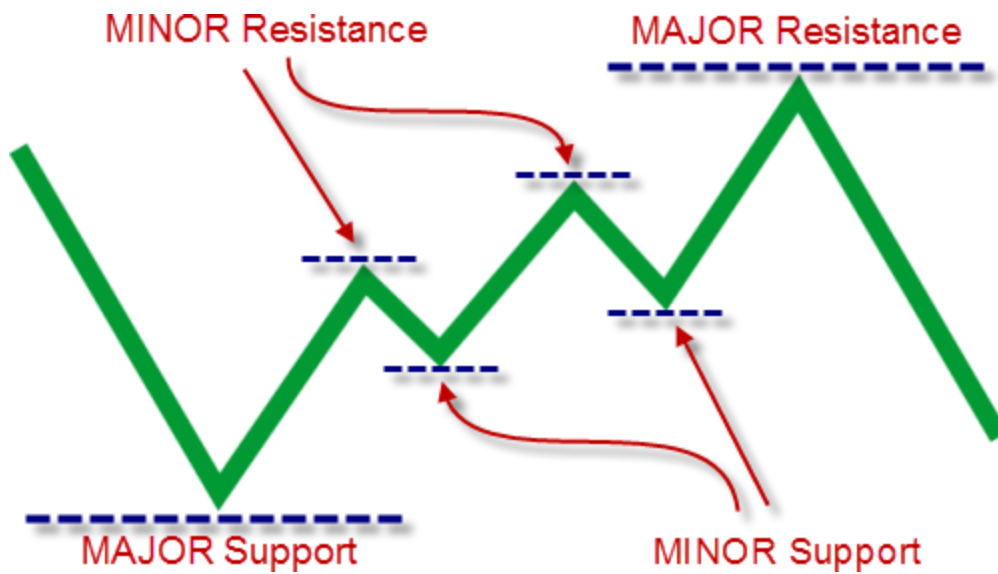
“The market is resisting the rise of price”

These terms make more sense when you relate it to the stock markets of the olden days when you could only make money when price climbed.

The main peaks are called MAJOR areas of Resistance.

The main valleys are called the MAJOR areas of Support.

The zig-zagging highs and lows in between the main areas of support and resistance are known as MINOR areas of support and resistance.

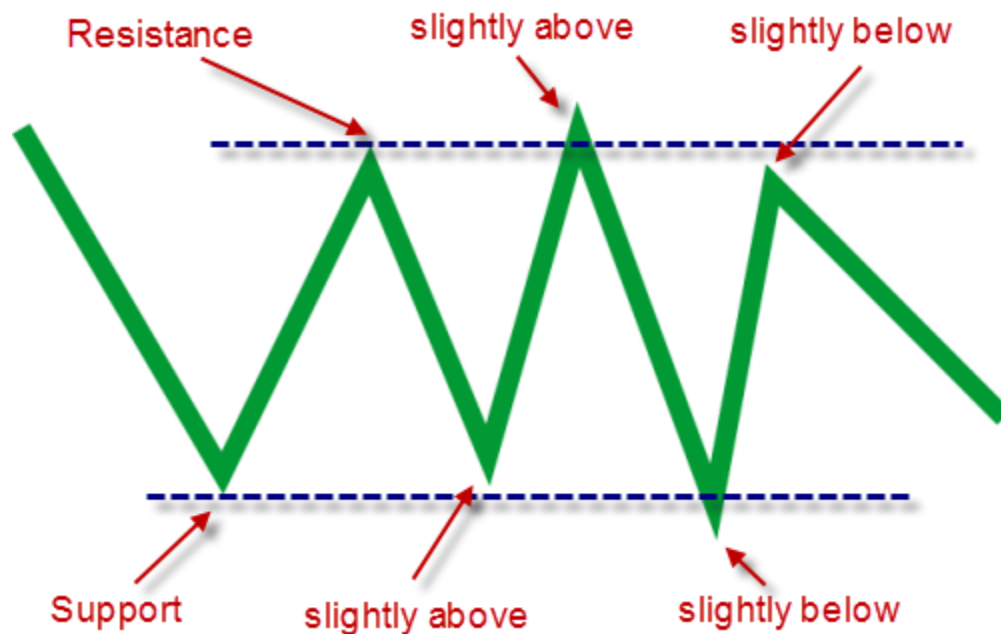


Support is important because we find that if an area is used as support once, it is likely to be used as support again. In the 1.2345 price is a price where market was rejected previously, there is a good chance that it will be rejected from there again in the future.

Resistance is the same way. As price finds resistance at a certain price, it will likely find resistance there again.

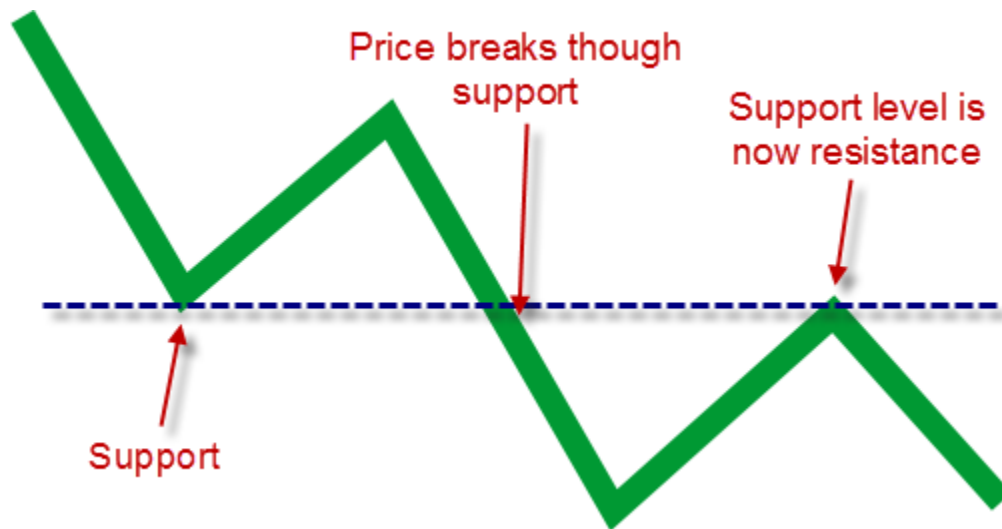
It's important to note that support and resistance are AREAS and not exact prices. The initial point of support or resistance will indeed be an exact price, but price will act on this area in the future and either get close to it without touching it or pass it a little before it turns around.

In the chart below, you see all valid examples of support and resistance.

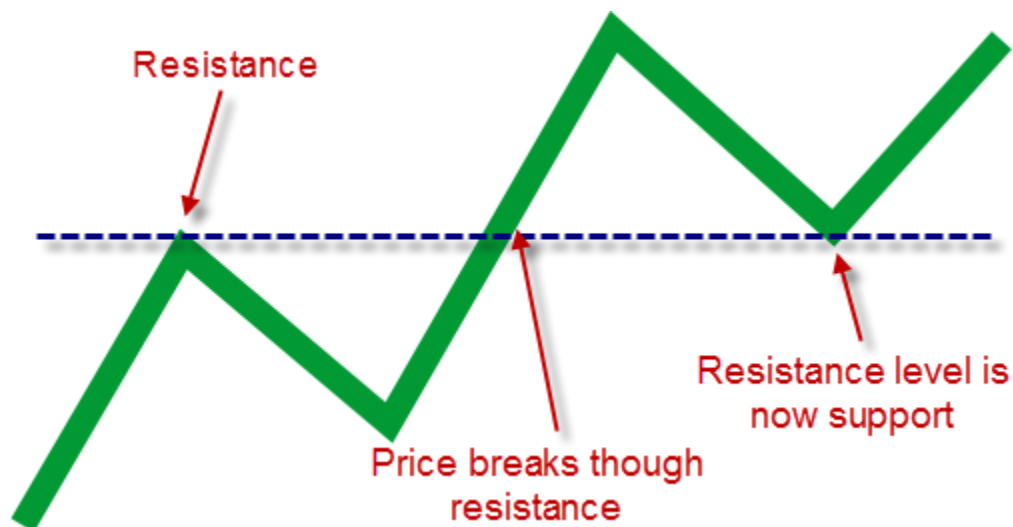


Support turns into Resistance

When an established level of support occurs, price will want to bounce back up off it. However, if price breaks through this level, it will want to come back to test this level from underneath using it as a new level of resistance.



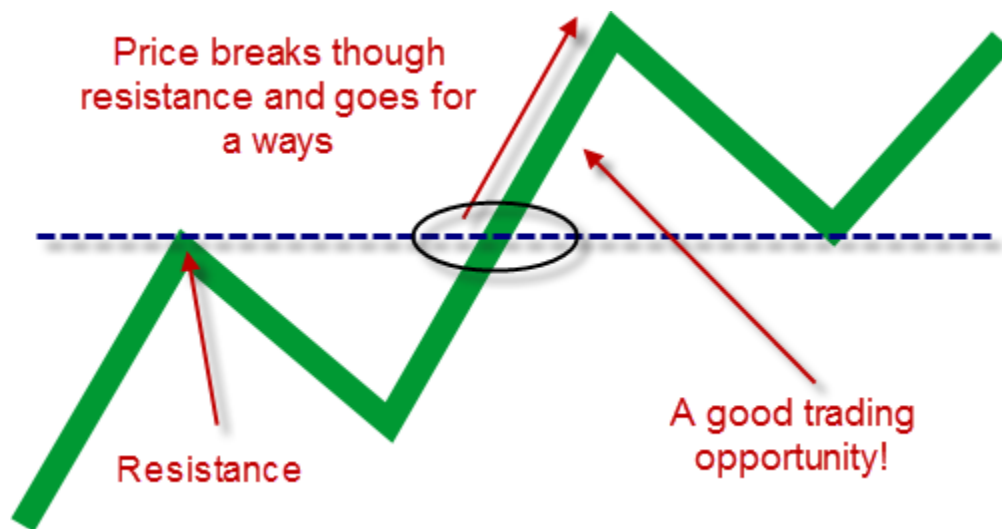
And of course, the opposite is also true:



Break of Support and Resistance

Although support and resistance levels are great at holding price at bay, there are often circumstances when price breaks through these levels.

This is important because when price is able to push past a level of support or resistance, it will want to keep on going. This presents us with a good opportunity to place a trade and make a few bucks.



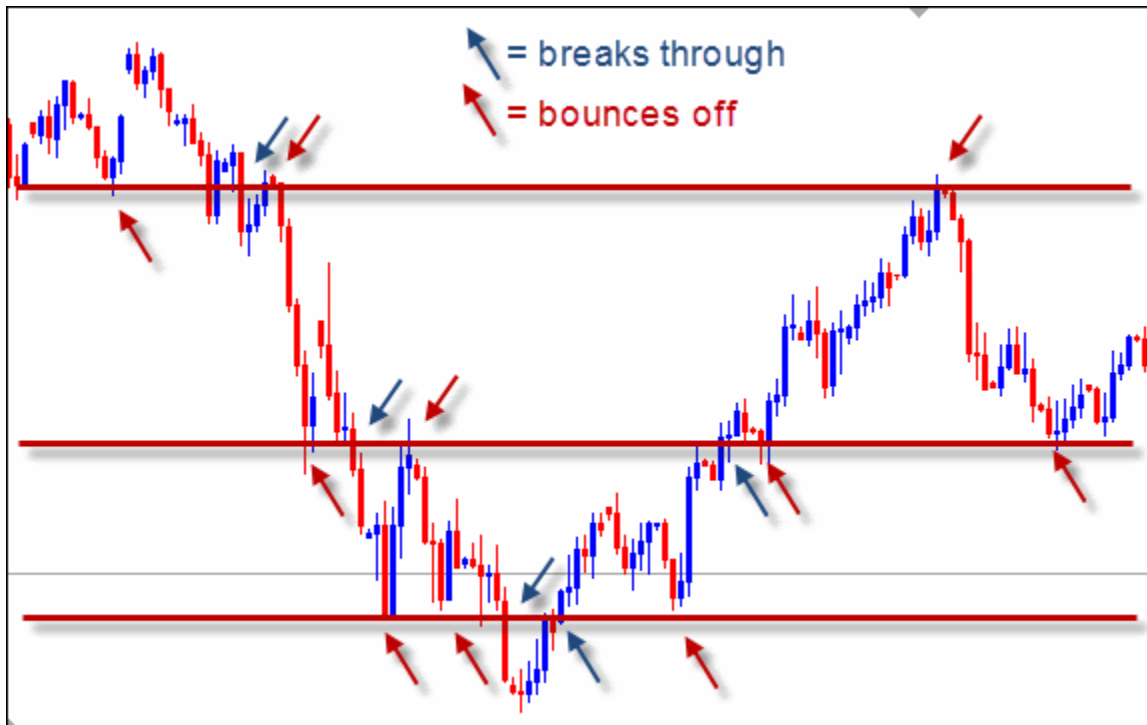
This is the basics for Support and Resistance trading.

(These basics are important, but have no fear, if you are a more seasoned trader, we will continue on into more spectacular things.)

To reiterate, Support and Resistance levels are important for 2 reasons:

1. Price will have a tendency to bounce off levels of support and resistance.
2. If price can move beyond a level of support or resistance, it will want to keep moving.

In the chart below you will see lines of support and resistance. They are great at holding price, but when price does break through, the market can earn you a nice profit as price runs away!



Range

A “ranging market” is one that is moving up and down within a defined level of support and resistance.

You will often find this kind of market condition:

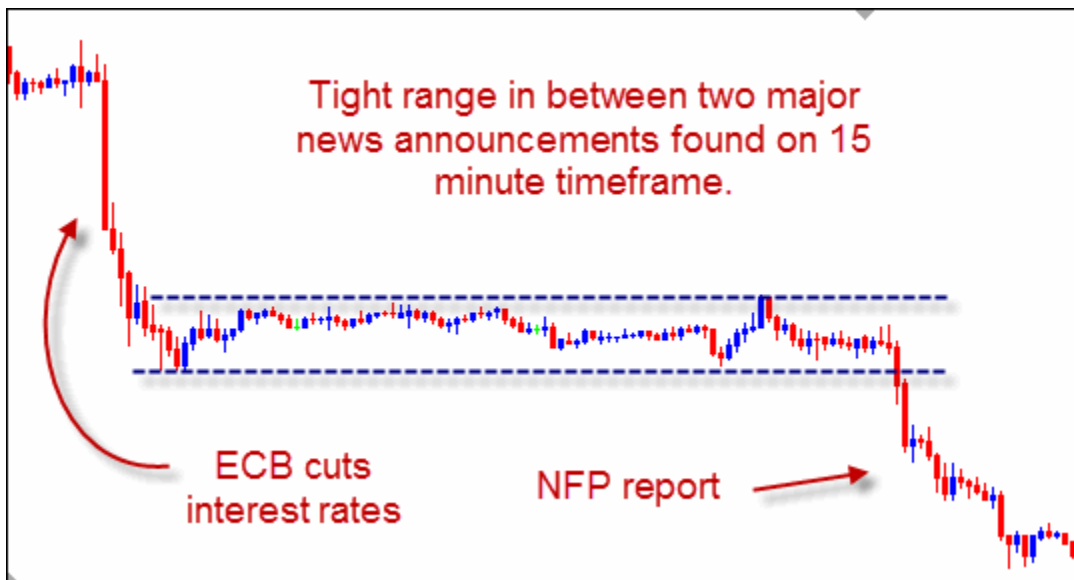
1. After a large move in the market as it catches its breath.
2. During a slowly traded time of day (more-so on smaller timeframes)
3. Before a major news announcement.



A range bound market could be very wide or extremely narrow.

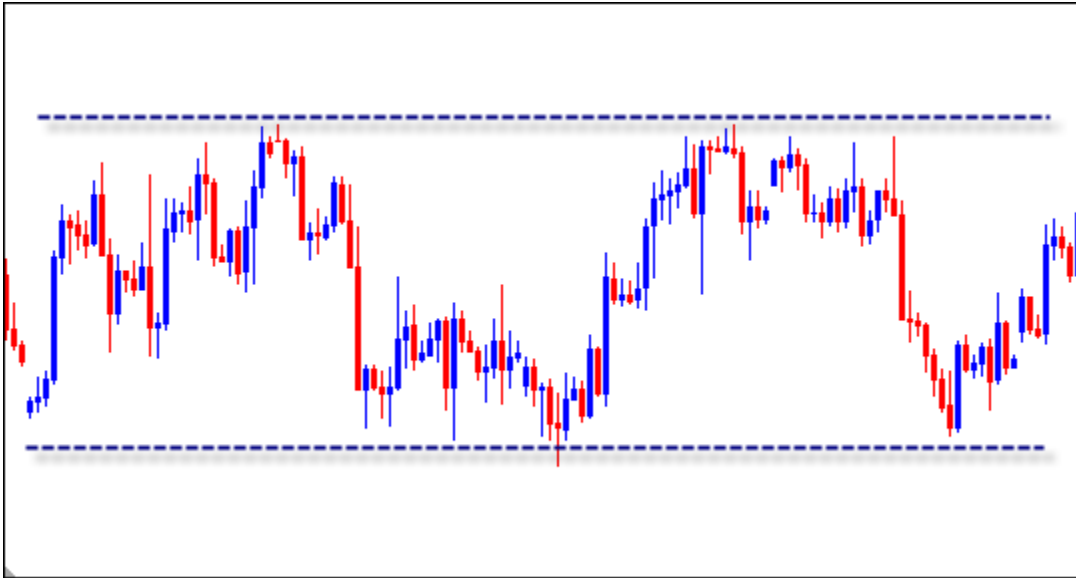
Below is an example that occurred between 2 major news announcements. The market reacted quite aggressively when the European Central Bank cut interest rates and then the market got very quiet as it was waiting for the Non Farm Payroll report. Traders don't want to get into the market on the eve of a coming high impact report as they can easily get taken out at a loss. The market will move unpredictably and traders don't want to get in front of that train.

This is an example of a very narrow ranging market, from the highs to the lows we saw a maximum market movement of approximately 25 pips over a 20 hour period.



You can see that as the lower boundary of the range was broken though by the market, price moved away making many traders a lot of money as they sold.

This following image is of a 4 hour timeframe. The range is approximately 150 pips from the high to the low.



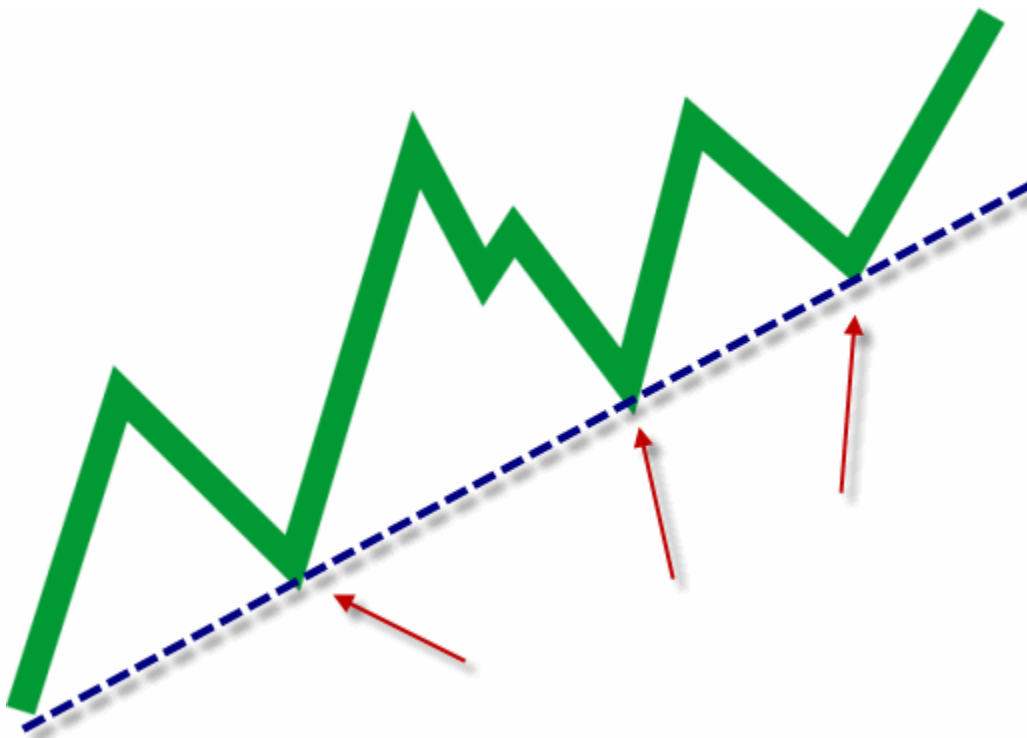
You will find ranges on every timeframe from the 1 minute to the monthly. Once the market has picked a top or a bottom, quite often the market will respect these levels in the future.

Price will bounce around within the range, zig-zagging its way back and forth inside. If you spot a range on a higher timeframe, it will give you a good idea of the price boundaries, but there will still be lots of trading opportunities on the smaller timeframes.

Trendlines

Support and resistance levels can also be seen on an angle. As the market moves up or down, it will still obey areas of support and resistance.

In a rising market, the price will bounce off a climbing floor as support, this will be a rising trendline.

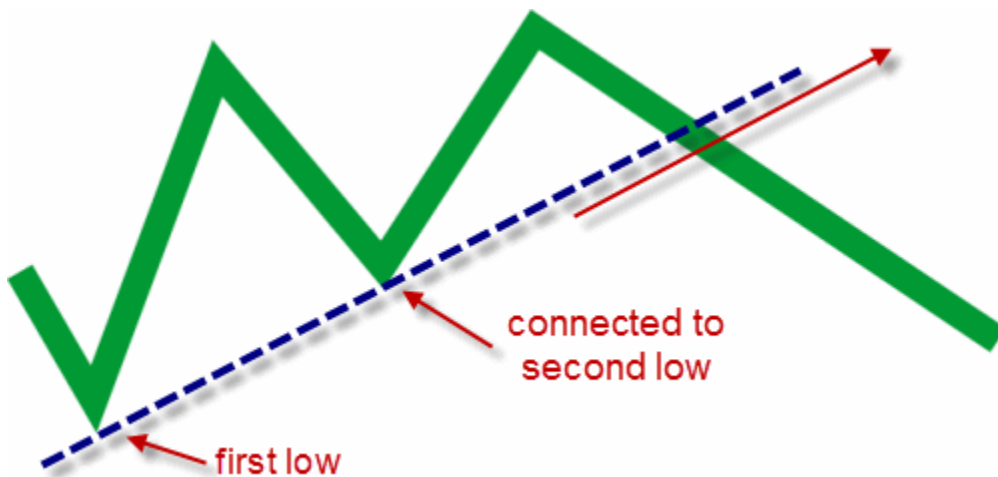


Trendlines are my favorite! There's no secret about that. They are easy to find and they happen all the time. To find a trendline, all you need is an initial low and then a second low. You connect the 2 lows and you have a trendline. From there, price will either obey the trendline or break through. If price breaks through, it will want to keep on moving in the direction it broke through. In the case of an upward trendline, price will break through and go down.

Below is an image of what it would look like when price breaks an upward trendline.

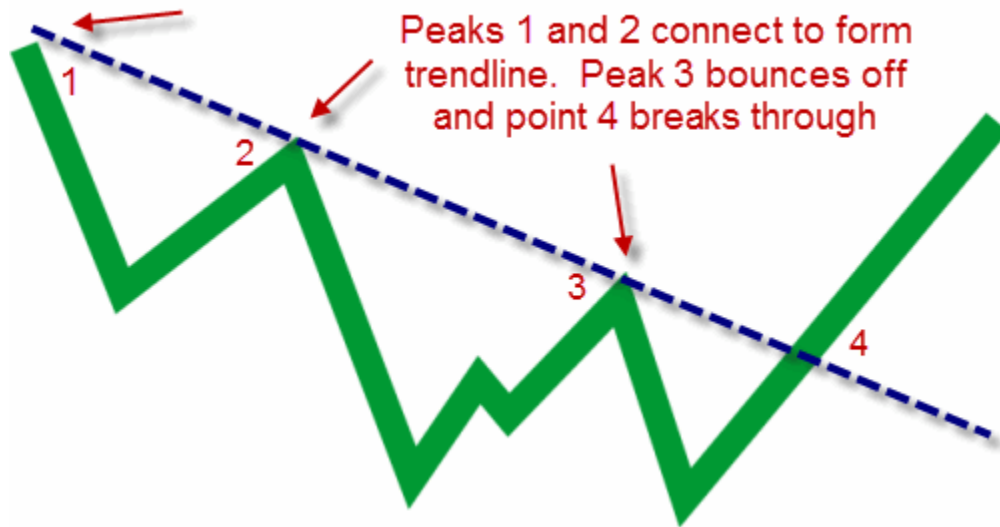


To draw a trendline, you will first have to find a low and then connect that low to a second (higher) low. The trendline is simply projected forward from there. You will see price either bounce off it in the future or break through it.



Of course everything said about an upward trendline applies to a downward trendline.

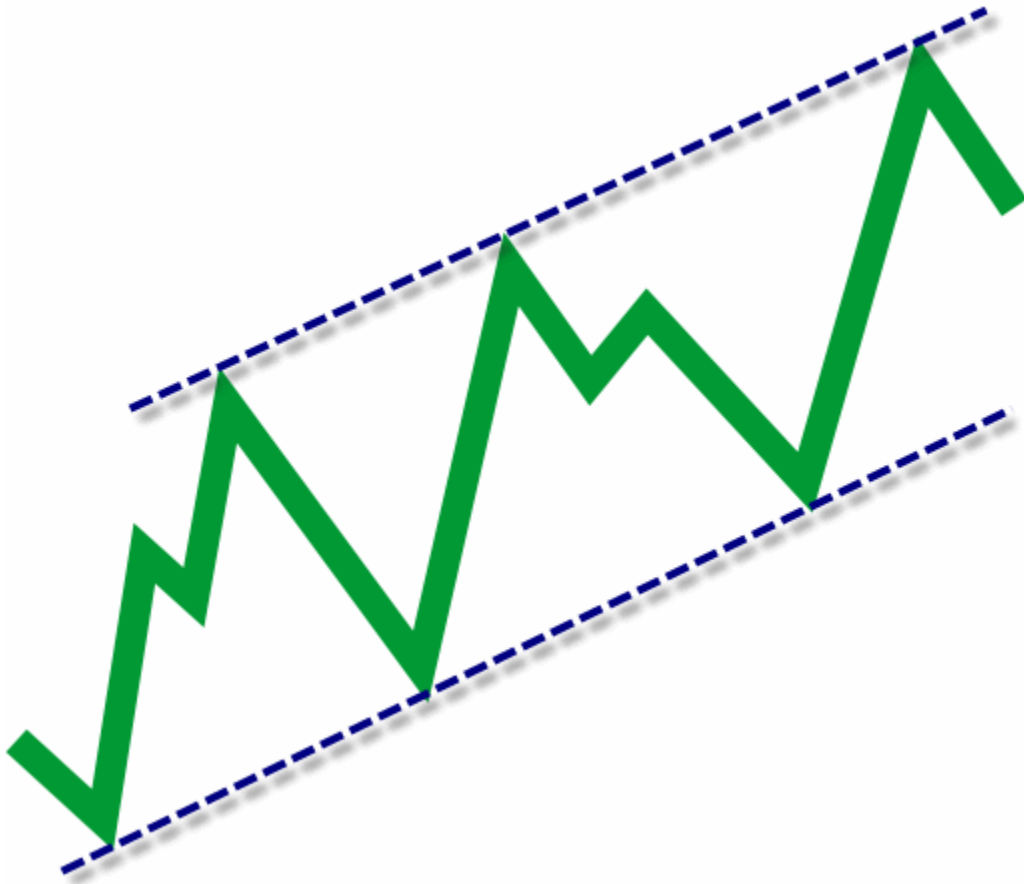
As price falls, you would be looking to connect the consecutively lower peaks drawing a trendline sloping downwards across the tops.



Many times all we will get is a peak 1 and a peak 2. Two points connected and the next contact with the trendline breaks through.

Channel

A price channel is the same thing as a range, but at an angle. Price will seem to be confined within two trendlines, one above price and one below price.



Like a range, a channel will give you a defined top and bottom. A long trade towards the top of the channel will likely reverse when it hits the top... making it a good place to take profit.

A downward channel is the same as an upward channel, only making lower highs and lows.

Below is a real chart example of a downward channel.



Channels aren't a big part of this trading system, but of course it'll be good to understand.

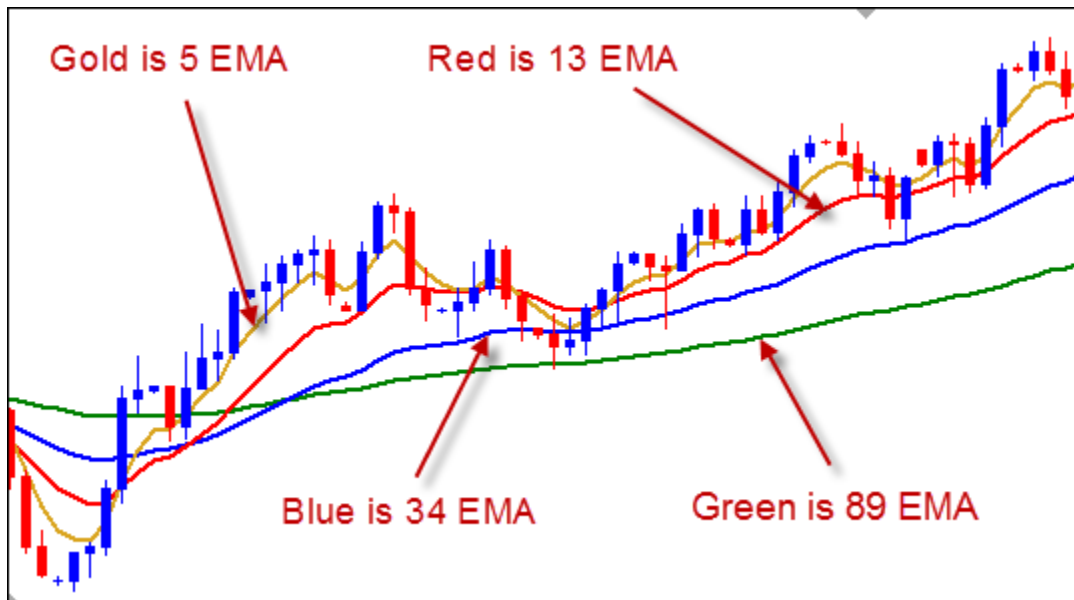
Channel = 2 parallel trendlines in which price will bounce back and forth between.

Moving Averages

Moving averages can be used as “dynamic” support and resistance. Following the same rules as horizontal and trendlines, price will either bounce off them or break through them.

Moving averages are a bigger part of this system, so it’s going to be beneficial to understand them.

A moving average is a line on a chart that waves and meanders its way through the price. It’s basically an average of a defined amount of candles. You can have an average of 5 candles or 13 candles or 34 candles or 89 candles or whatever else you choose. The fewer candles you are averaging, the “faster” it will be, meaning it hugs price more closely. The more candles the moving average averages, the “slower” it will be. It will be smoother and have less weaving to it.



In the above image, you see the variety of the moving averages. The fastest 5 Moving Average (ma) hugs the price pretty closely. The 13 follows price pretty well, but you'll notice that it's smoother. The 34 is even more smooth.

In the example of the 13 ma, the point of the moving average at each candle is an average of the closing price of that candle and the previous 13 candles. All the closing prices of the last 13 candles are added together and then divided by how many candles there were (13 in this case) to plot a point on the chart. As each new candle is formed, a new point is plotted on the chart. The points are all connected together like a connect-the-dots to give you a line.

There are several different kinds of moving averages:

1. Exponential
2. Simple
3. Smoothed
4. Weighted
5. Triangular
6. Hull

Programmers are figuring new ways to analyze the closing prices and come up with new and creative types of moving averages. The difference between the different kinds of moving averages is the math used to determine the placement of the point. *(Of course if you can analyze closing price, you can also build a moving average using the information of the opening price, or highs or lows. The closing price is the most common and it's the one we use)

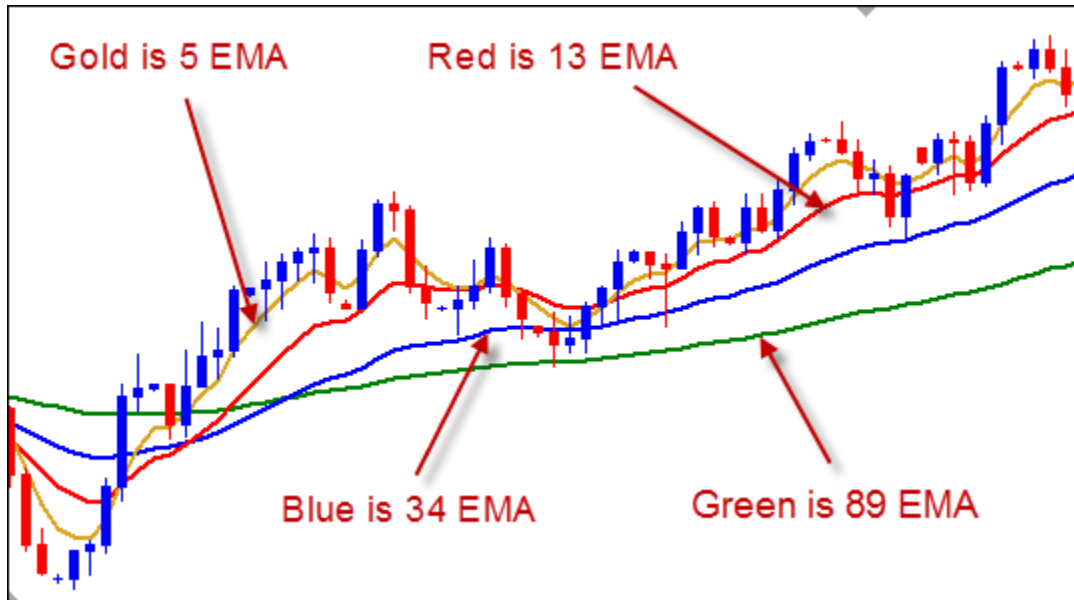
Simple moving average simply adds all the closing prices together and divides by the number of candles.

The Exponential moving averages are a little quicker and move more with price as more importance, or weight, is given to the more recent candles.

In the image below, you can see the red Exponential Moving Average (EMA) compared to the grey Simple Moving Average (SMA). The red EMA is faster to adjust to the market conditions while the simple moving average is slower to make the adjustment. Each kind of moving average has its place, but for this trading system, I found the best moving averages are the Exponential Moving Averages.



The point of this section is to determine Support and Resistance, and moving averages are great for levels that adjust with the market. Below is the image we used earlier with the 4 different moving averages.



You will see that the 5 EMA (Gold) doesn't provide very good areas for price to bounce off, but rather, price tends to trade right through it. This is a good thing as long as we know this is what happens. We can actually use this to our trading advantage.

The 13 EMA (red) provides a little better support and resistance, but it's not perfect. The Blue and Green lines are getting much better at being levels where price reacts. All the moving averages have their place and they will all work together providing us with a lot of information about potential market reactions to these areas.

Consolidation

Consolidation is an area of the market where price is essentially just moving sideways. There are little price movements, but they are very small and keep themselves within a well-defined high and low.

A trading range also moves within an upper and lower boundary, but there are often tradable movements. In a period of consolidation, the lack of and sizeable up and down movement make it virtually impossible to trade.

Consolidation is often referred to as a period of market indecision when the buyer and the sellers can't make up their minds. It can also be looked at as a period of market equilibrium when everything is balanced, and as a result, there is calm in the market.

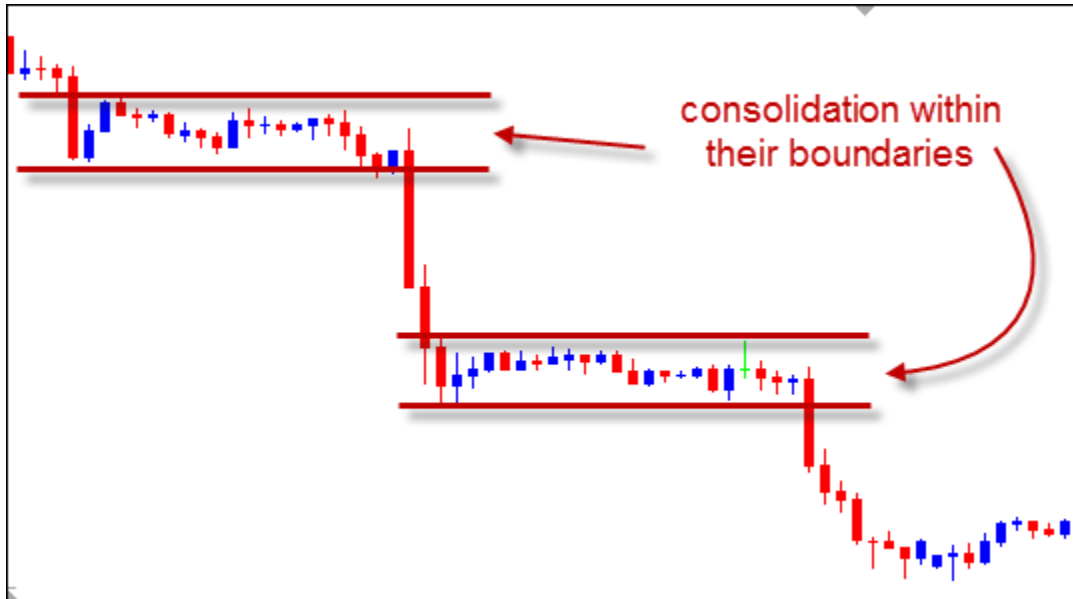
Periods of consolidation occur:

1. After a large move in the market.
2. During the time of day when most countries market hours are closed.
3. Before large fundamental news events.

Consolidation is present on all the different timeframes, they can be found on the 1 minute charts as well as the monthly charts. The market is like a living entity, and like living things, periods of work (movement) are followed by periods of rest.

As the market is always moving, this period of calm doesn't last for long and often presents the trader with a nice trading opportunity. As the market begins to move again, it will have to move past its consolidated boundaries.

In the image below, you can clearly see the consolidation and the boundaries that they create. Once the market gets moving, the boundaries are broken through and the price moves past them quite aggressively. This is referred to as a “breakout” as price breaks out of its upper or lower support or resistance levels.



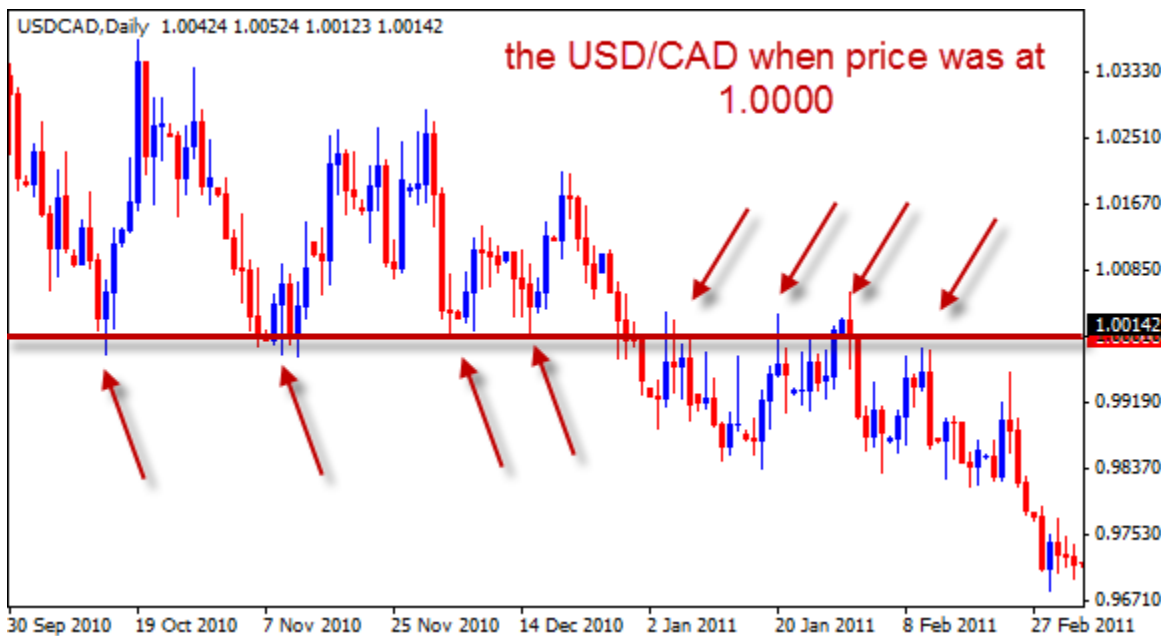
Round Numbers

This is a kind of support and resistance level use more by institutional traders, but since they use it, we should absolutely be looking at them as well.

A round number refers to a price. As the exchange rate changes, it will come to numbers like 1.2200, or .8950.

The 00 and the 50 levels are considered to be the best areas of support and resistance. the more zeros, the stronger. "1.0000" might just be the strongest support/resistance number in history. "1.2000" is a good number too, it has 3 zeros. "1.2500" ends with two zeros, an excellent price for the market to turn around at. Then there are the 50 levels like "0.8750". The bigger buyers and sellers use these numbers to either get into a trade at or get out of a trade at. Both actions give these numbers some strength and we should be aware of that.

The image below is the USD/CAD, the red line is the 1.0000 price, see how often price bounced at that level.



Breakouts

Breakouts are basically what they sound like. The market “breaks out” of a defined range. The range scenario is what a traditional break out refers to, but the term has broadened slightly. In this manual I will venture to expand on it one step further.

Let’s define the word. Dictionary.com defines Breakout this way:

Dictionary.com’s definition of “Breakout”:

breakout [breyk-out]

noun

- an escape, often with the use of force, as from a prison or mental institution.

A Forex trader’s definition of “Breakout”:

breakout [breyk-out]

noun

- a price movement past an established level of support or resistance.

Remember all the different ways to look at support and resistance as levels, trendlines, channels, moving averages... a breakout will be when price moves past one of these established areas on your chart.

What most traders are familiar with are horizontal support and resistance levels and angled trendline levels. There is a line drawn and price moves past the line... simple.

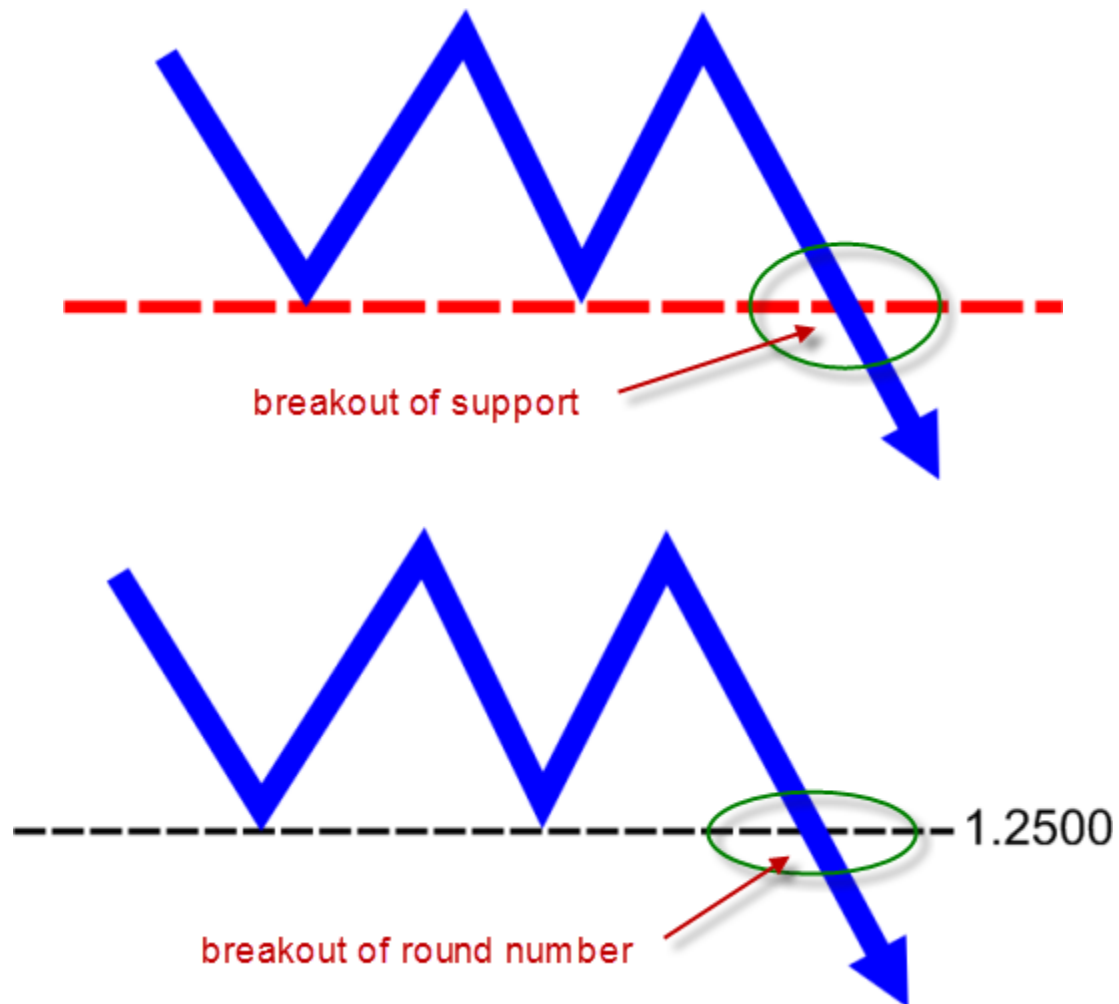
What traders are not as familiar with are moving average breakouts. They use moving averages, but quite often not in this way and almost never looked at as a “breakout”.

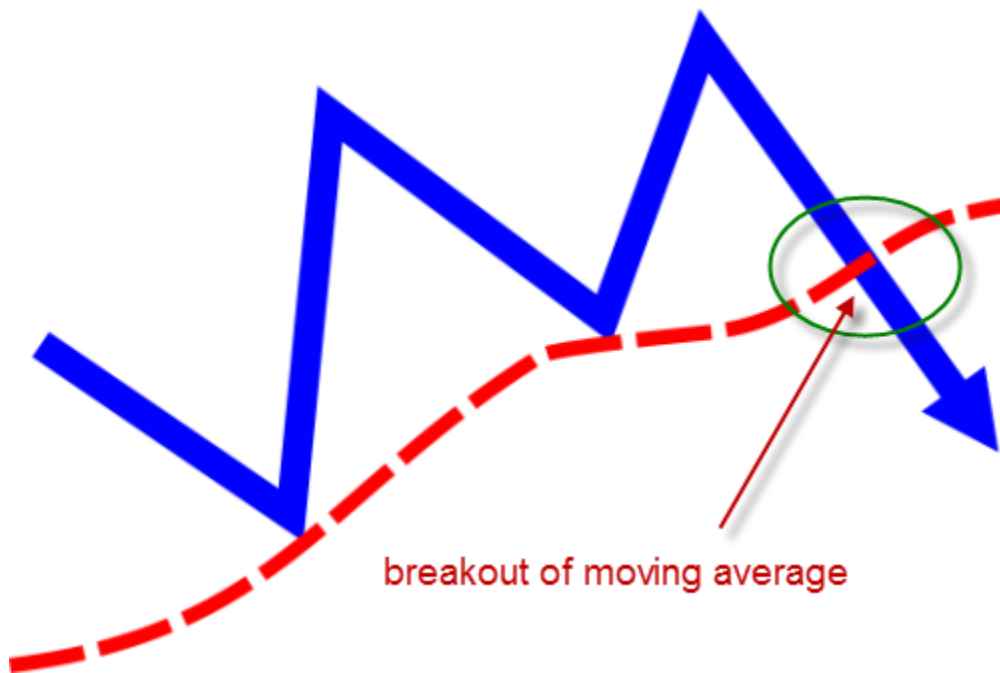
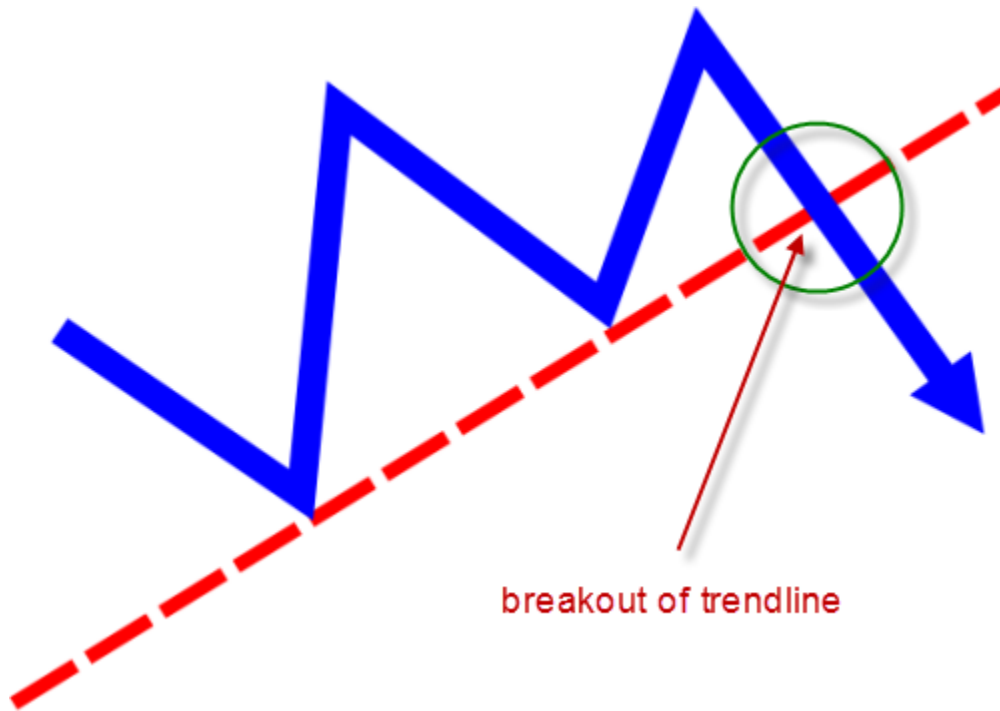
The different breakouts are:

1. Support and Resistance levels (horizontal lines)
2. Trendlines (diagonal lines)
3. Moving Averages (dynamic – moving levels)
4. Price (large round numbers, 00 and 50 levels)

This trading system will utilize breakouts on many levels, but the biggest trade opportunities will be moving average breakouts.

Let's look at an example of each kind of breakout.





The examples are all breakouts to the short side, but you can easily imagine the opposite as the breakouts happen to the upside.